

Chapter One: “The Nature and Significance of Money in Conventional Economics”

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❖ **Barter System:**

Trading goods or services between two or more parties without the use of money.

❖ **Difficulties Of Barter System:**

1. Lack Of Double Coincidence of Wants:

The direct exchange of one commodity for another requires direct satisfaction of both the parties. So, the main disadvantage of this system is the lack of double coincidence of wants. For example, one cow would be exchanged for four sheep. It is necessary that a person with the cow should find the man who wants to exchange sheep with the cow. So, arranging for such an exchange would be very difficult.

2. Lack Of Common Standard of Value:

All the goods which are to be exchanged are not of the same value, so it is very difficult to determine the ratio of exchange between the different goods.

3. Lack Of Subdivision:

In case of goods which are indivisible the value loss will be suffered. For example, if the owner of a cow wants to purchase a hen, then it will be not possible for him to give a small part of cow to the owner of a hen. In this case he

4. The Difficulty in Storing Wealth:

It is very difficult to store goods particularly perishable goods for a long period. They lose their value as time passes.

5. Difficulty For Future Payments:

Under this system it is very inconvenient to lend goods to other people. With the lapse of time the value of goods may fall. So, one would like to suffer a loss.

6. Difficulties For Finance Minister:

Under barter system, goods cannot be collected as a tax, because these cannot be kept in a store for a longer period.

7. Difficulties For Transfer of Wealth:

Under this system transfer of wealth also becomes a problem for the people. For example, one person wants to take one thousand cows from Gujrat to Ahmadabad, how much difficulty he would feel? Now by the use of money all these difficulties have been removed.

8. Lack Of Specialization:

Under the barter system a high degree of specialization is not possible. A person cannot yet the skill of specialization the particular field as we find in the present system of production.

❖ Evolution of Money:

(i) Commodity Money:

The second stage in the evolution of money is the introduction of commodity money. Commodity money is that money whose value comes from a commodity, out of which it is made. The commodities that were used as medium of exchange included cowrie shells, bows and arrows, gold, silver, food grains, large stones, decorated belts, cigarettes, copper, etc.

However, the commodity money had various drawbacks such as there could be no standardization of value for money, lacks the property of portability and indivisibility. Therefore, this form of money became an unsuitable medium of exchange.

(ii) Coinage:

The next step is coinage. This is just like a commodity money but the commodity is the metal that the money is made of. Thus, it can be seen that commodity money is of two types i.e., metallic and non-metallic. Metallic money at one stage were used as full-bodied money, i.e., the full value was equal to the intrinsic value of the metal.

Non-metallic commodity money was used on a large scale in our early days of civilization.

(iii) Paper Money:

The next important stage in the evolution of money is the paper money which replaced the metallic money. The transfer of sum of money in terms of metallic money was both inconvenient and risky. Therefore, written documents were used as temporary substitutes for money

(iv) Bank Money:

Bank money implies demand deposits with banks which are withdraw able through cheques, drafts, etc. Cheques are widely accepted these days particularly for business transactions. Debit and credit cards also fall under this category.

❖ Concepts of Money:

The functional approach defines money on the principle of its purpose and demand. Hence, the classical definition, "money is anything of value that is generally accepted as a medium of exchange, unit of account and a store of value "Anything that is generally acceptable as a means of exchange (i.e., as a means of settling debts) and that at the same time, acts as a measure and as a store of value." Crowther This definition covers all the three important functions of money and also stresses its basic characteristic, namely general acceptability.

❖ **Functions of Money**

1. Medium of exchange

It is one of the three fundamental functions of money in mainstream economics. It is a widely accepted token which can be exchanged for goods and services.

2. Measure of value

A unit of account is a standard numerical monetary unit of measurement of the market value of goods, services, and other transactions. Also known as a "measure" or "standard" of relative worth and deferred payment, a unit of account is a necessary prerequisite for the formulation of commercial agreements that involve debt.

3. Standard of deferred payment

In economics standard of deferred payment is a function of money. It is the function of being a widely accepted way to value a debt, thereby allowing goods and services to be acquired now and paid for in the future.

4. Store of value

store of value is the function of an asset that can be saved, retrieved and exchanged at a later time, and be predictably useful when retrieved More generally, a store of value is anything that retains purchasing power into the future.

❖ **Characteristics of Money:**

1. General Acceptability:

Money is accepted by all as a medium of exchange. Thus, it has general acceptability. No one denies accepting money as a medium of exchange. People do not hesitate to accept it as standard of payment.

2. Measure of Value:

Value of any good or service can easily be measured in terms of money. It is accepted as a measure of value.

3. Active Agent:

Money is an active agent of an economic system. In modern economy, money is required in every commercial process. Process of production cannot start without the participation of money.

4. Liquid Assets:

Money is highly liquid asset. It can easily be converted in goods and services. Debt, stock and bills, etc., are the other liquid assets but the liquidity of money is highest than the other liquid assets.

5. Money is a Means and not an End:

The word money is means to acquire things desired. Money itself cannot be used to satisfy. It is indirectly used to get any goods or services to satisfy human wants.

6. Voluntary Acceptability:

Money is voluntarily accepted by people. There is no requirement to get legal approval. People always wish to hold money.

7. Government Control:

Reserve Bank of India and Govt, has an authority to issue currency which is accepted as a form of money in India. No other authority can issue currency notes. Thus, the government keeps control over the money supply in the country.

❖ Different forms of Money:

Money assumes so many forms in real life that it is difficult to identify what constitutes money and what not. Different economists have classified money in different forms.

❖ Types of money:

(i) Money of Account:

Actual money is that which actually circulates in the economy. It is used as a medium of exchange for goods and services in a country. For example, paper notes of different denominations and coins in actual circulation in India constitute the actual money. Money of account is that form of money in terms of which the accounts of a country are maintained and transactions made.

(ii) Commodity Money:

Commodity money is made up of a certain metal and its face value is equal to its intrinsic value. It is also referred to as full-bodied money. Representative money, on the other hand, is generally made either of cheap metals or paper notes.

(iii) Near-Money:

Money is anything that possesses 100 per cent liquidity. Liquidity is the quality of being immediately and always exchangeable in full value for money. Near-money refers to those objects which can be held with little loss of liquidity

(iv) Metallic Money and Paper Money:

This classification is based upon the content of a unit of money. Money made of some metal like gold and silver is called metallic money. On the other hand, money made of paper, such as currency notes, is called paper money.

Metallic money is sub-classified into:

A. Standard Money.

B. Token Money.

Standard money is one whose intrinsic value is equal to its face value. It is made up of some precious metal and has free coinage. **Token money** is that form of money whose face value is higher than its intrinsic value. Indian rupee coin is an example of token money. Paper money comprises bank notes and government notes which circulate without difficulty.

Paper money is classified into following parts:

- (a) Representative paper money, which is 100 per cent backed and is fully redeemable in some precious metal.
- (b) Convertible paper money, which can be converted into standard coins at the option of the holder. It is not fully backed by precious metals.
- (c) Inconvertible paper money, which cannot be converted into full-bodied money. Indian one rupee note is a good example of inconvertible paper money.
- (d) Fiat money, which is issued by the government of the country under emergency conditions. It does not have any backing of reserve.

(v) Credit Money:

It is also known as bank money. This consists of deposits of the people held with the banks, which are payable on demand by the depositors. Cheques, drafts, bills of exchange, etc., are examples of credit money.

Modern Forms of Money:**1. Currency:**

The currency is a country's unit of exchange issued by their government or central bank whose value is the basis for trade. Currency includes both metallic money (coins) and paper money that is in public circulation.

(a) Metallic Money:

Metallic money refers to the coins which are used for small transactions. Coins are most often issued by the government. Examples of coins are 50 paise coins, and 1, 2, 5 and 10 rupee coins.

(b) Paper Money:

It refers to paper notes and used for large transactions. Each currency note carries the legend; I promise to pay the bearer the sum of 50/100 rupees' depending on the value of note. The currency notes are duly signed by the Governor of RBI.

Simply, the meaning of legend is that it can be converted into other notes or coins of equal value. Examples of currency notes are 1, 2, 5, 10, 20, 50-, 100-, 500- and 1000-taka notes.

2. Bank Money:

It refers to money deposited by people in the bank on the basis of which cheques can be drawn. Customers of the bank deposit coins and currency notes in the bank for safe-keeping, money transferring and also to get interest on the deposited money.

3. Legal Tender Money (Force Tender):

Legal tender money is the currency which has got legal sanction or approval by the government. It means that the individual is bound to accept it in exchange for goods and services; it cannot be refused in settlement of payments of any kind.

4. Near Money:

It is a term used for those which are not cash but highly liquid assets and can easily be converted into cash on short notice such as bank deposits and treasury bills. It does not function as a medium of exchange in everyday purchases of goods and services.

5. Electronic Money:

Electronic money (also known as e-money, electronic cash, electronic currency, digital money, digital cash or digital currency) involves computer networks to perform financial transactions electronically it exchanges funds every day without the physical movement of any paper money. This would eliminate the use of cheques and reduce the need for currency.

6. Fiat Money:

Fiat money is any money whose value is determined by legal means. The term fiat currency and fiat money relate to types of currency or money whose usefulness results not from any intrinsic value or guarantee that it can be converted into gold or another currency but from a government's order (fiat) that it must be accepted as a means of payment.

❖ Concept of Money Supply and its Measurement

Definition:

The money supply is the total stock of money circulating in an economy. The circulating money involves the currency, printed notes, money in the deposit accounts and in the form of other liquid assets.

Money supply refers to the amount of domestic currency that circulates in a national economy during a specified period. Money supply includes cash, coins, and money held in savings and checking accounts for short-term payments and investments.

Money supply plays a crucial role in the determination of price level and interest rate. In economic analysis it is generally presumed that money supply is determined by the policy of Central Bank of a country and the Government.

➤ The Concept of Money Supply and its Measurement:

By money supply we mean the total stock of monetary media of exchange available to a society for use in connection with the economic activity of the country.

➤ According to the standard concept of money supply, it is composed of the following two elements:

1. Currency with the public.

2. Demand deposits with the public.

Before explaining these two components of money supply two things must be noted with regard to the money supply in the economy.

➤ **Currency with the Public:**

In order to arrive at the total currency with the public in India we add the following items:

1. Currency notes in circulation issued by the Bangladesh Bank.
2. The number of rupee notes and coins in circulation.
3. Small coins in circulation.

It is worth noting that cash reserves with the banks have to be deducted from the value of the above three items of currency in order to arrive at the total currency with the public. This is because cash reserves with the banks must remain with them and cannot therefore be used for making payments for goods or by any commercial banks' transactions.

➤ **Demand Deposits with the Public:**

The other important components of money supply are demand deposits of the public with the banks. These demand deposits held by the public are also called bank money or deposit money. Deposits with the banks are broadly divided into two types: demand deposits and time deposits.

Demand deposits in the banks are those deposits which can be withdrawn by drawing cheques on them. Through cheques these deposits can be transferred to others for making payments from which goods and services have been purchased.

❖ **Four Measures of Money Supply:**

Several definitions of money supply have been given and therefore various measures of money supply based on them have been estimated.

First, different components of money supply have been distinguished on the basis of the different functions that money performs.

For example, demand deposits, credit card and currency are used by the people primarily as a medium of exchange for buying goods and services and making other transactions. Obviously, they are money because they are used as a medium of exchange and are generally referred to as $M\{1\}$. Another measure of money supply is $M\{3\}$ which includes both $M\{1\}$ and time deposits held by the public in the banks. Time deposits are money that people hold as store of value.

1. Money Supply M1 or Narrow Money:

This is the narrow measure of money supply and is composed of the following items:

$MC + DD - OD$

Where

C = Currency with the public

DD = Demand deposits with the public in the Commercial and Cooperative Banks.

OD = Other deposits held by the public with Bangladesh Bank

The money supply is the most liquid measure of money supply as the money included in it can be easily used as a medium of exchange, that is, as a means of making payments for transactions.

2. Money Supply M2:

M_2 is a broader concept of money supply in India than M_1 . In addition to the three items of M_1 , the concept of money supply M_2 includes savings deposits with the post office savings banks. Thus,

$M_2 = M_1 + \text{Savings deposits with the post office savings banks}$

The reason why money supply M_2 has been distinguished from M_1 is that saving deposits with post office savings banks are not as liquid as demand deposits with Commercial and Cooperative Banks as they are not cheatable accounts. However, saving deposits with post offices are more liquid than time deposits with the banks.

3. Money Supply M3 or Broad Money:

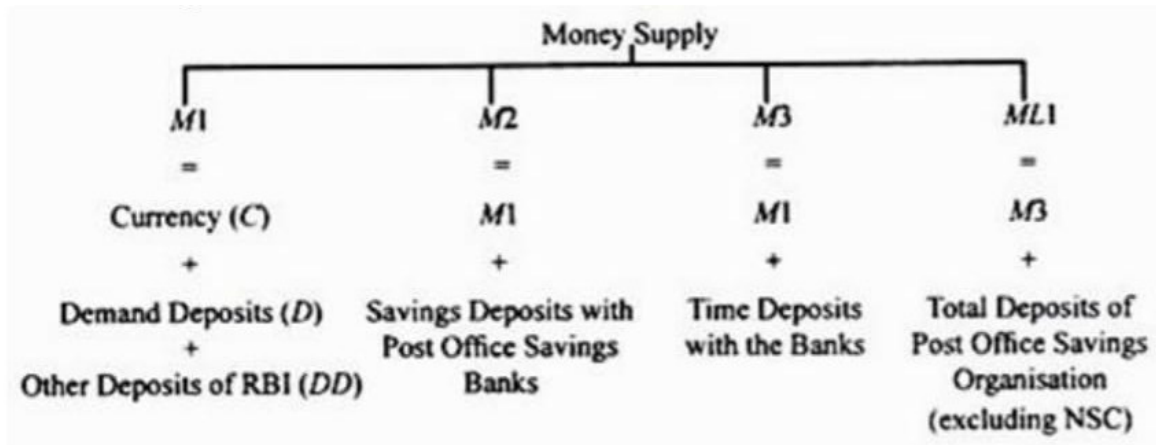
M_3 is a broad concept of money supply. In addition to the items of money supply included in measure M_1 in money supply M_3 , time deposits with the banks are also included. Thus $M_3 = M_1 + T$
Deposits with the banks.

It is generally thought that time deposits serve as store of value and represent savings of the people and are not liquid as they cannot be withdrawn through drawing cheque on them. However, since loans from the banks can be easily obtained against these time deposits, they can be used if found necessary for transaction purposes in this way. Further, they can be withdrawn at any time by forgoing some interest earned on them,

4. Money Supply M4:

The measure M_4 of money supply includes not only all the items of M_3 described above but also the total deposits with the post office savings organization. However, this excludes contributions made by the public to the national saving certificates. Thus, $M_4 = M_3 + \text{Total Deposits with Post Office Savings Organization}$.

Let us summaries the four concepts of money supply as used by BB in the following tabular form:



❖ The motives lying behind liquidity preference (or why people desire to hold money) can be analysed as follows:

(1) The transactions motive:

Liquid balances are necessary to bridge the interval between receipt of income and outlay. Income is received periodically. A man who gets his wages once a month must keep enough cash in his hands or in his current account to carry on his day-to-day purchases between one pay day and another.

(2) The precautionary motive:

Liquid balances are required to be kept in hand to provide for emergencies like sickness or accident. Everyone likes to keep some money in hand by way of precaution against such contingent liabilities and unforeseen expenses.

(3) The speculative motive:

Liquid balances are held with the expectation of finding better uses for them in the future. Opportunities for the purchase of goods or of bonds, on favorable terms, may come any time and everyone likes to keep some money at hand to avail himself of such opportunities. Money kept as a store of wealth comes within this category. (Keynes)

Chapter Two: “The Value of Money and its Measurement and Determination:”

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❖ Value of Money:

The value of money means purchasing power of money. Apart from exchange value of money it has no other independent value. In other words, the money is always related with its exchange value. As we know the eye whether of human person or animal does not have its own light, similarly the eye can see only with either by artificial or natural light. In the same way, the value of money can be judged or perceived only when it is related with its power of purchase.

In the words of Crowther "The value of money is what it will buy. "In other words, the value of money depends on its purchasing power. In this connection the other definition of Robertson may also be referred. As per this definition- "The value of money means the amount of things in general which will be given in exchange for a unit of money."

In this way the value of the money depends on its purchasing power either of a commodity or other services. It is also evident that the value of money and value of commodity has opposite relationship. This means when there is an increase in the value of commodity, the value of money will decrease.

❖ Factors Affecting Value of Money (Purchasing Power)

Factors affecting the value of money refer to the various economic and psychological elements that determine the *purchasing power* of money. that is, how many goods and services a unit of currency can buy

1) Price Level

- Higher prices → lower value of money.
- Lower prices → higher value of money.

2) Supply of Money

- If money supply increases faster than goods/services → value falls.
- Controlled supply → stable value.

3) Demand for Money

- Higher demand for cash balances (e.g., during uncertainty) → value rises.
- Lower demand → value falls.

4) National Income & Output

- More production of goods/services → value of money rises.
- Low production → value falls.

5) Foreign Exchange Rates

- Currency depreciation → lowers value of money domestically and internationally.
- Currency appreciation → raises value.

6) Public Confidence

- Trust in the currency's stability increases its value.
- Political/economic instability reduces it.

7) Monetary Policy

- Central bank controls inflation & stabilizes value via interest rates, reserve ratios, and money supply control.

❖ Fisher's Quantity Theory of Money

Definition

Fisher's theory states that the **general price level of goods and services** is directly proportional to the quantity of money in circulation, provided that the **velocity of money** and the **volume of transactions** remain constant.

It's based on the **Equation of Exchange**:

$$MV=PT \quad MV = PT \quad MV=PT$$

- **M** = Money supply
- **V** = Velocity of circulation of money
- **P** = Price level
- **T** = Volume of transactions (or real output)

❖ Role of Money in Economic Development

Money plays a vital role in promoting economic growth, particularly in modern economies where transactions are large and complex.

1. Medium of Exchange

- Removes the problem of **barter system** (double coincidence of wants).
- Facilitates trade, specialization, and market expansion.

2. Measure of Value

- Provides a **common standard** for pricing goods and services.
- Makes cost-benefit comparison easier in production and investment decisions.

3. Store of Value

- Allows savings for future consumption and investment.
- Mobilizes resources for productive activities.

4. Facilitates Capital Formation

- Encourages savings in monetary form.
- Supports investment through banks, capital markets, and financial institutions.

5. Promotes Efficient Allocation of Resources

- Prices (in monetary terms) guide producers towards goods in higher demand.
- Encourages competition and efficiency.

6. Encourages Industrial & Agricultural Growth

- Enables purchase of machinery, technology, and raw materials.
- Helps farmers access seeds, fertilizers, and modern tools through credit.

7. Facilitates Government Revenue & Expenditure

- Taxes are collected in money.
- Funds infrastructure, education, healthcare, and defense.

8. Encourages International Trade

- Common currency values make imports and exports easier.
- Reduces exchange difficulties.

❖ The Nature & Significance of Money in Islam: An Analysis

1. Nature of Money in Islam

In Islam, money is viewed as a **medium of exchange**, **measure of value**, and **store of wealth**, but not as a commodity for exploitation. Its primary nature is to facilitate trade and economic activity in a just manner.

- **Medium of Exchange:** Money is a tool to exchange goods and services without resorting to barter.
- **Standard of Value:** It provides a unit by which the value of goods and services can be measured.
- **Not a Commodity:** Unlike modern capitalist thought, Islam discourages treating money itself as a profit-generating commodity (through interest).
- **Asset-backed Concept:** Historically, Islamic economies used gold (dinar) and silver (dirham), giving intrinsic value to money.

2. Significance of Money in Islam

The significance of money is tied to its role in promoting fairness, productivity, and moral responsibility in economic life.

- **Facilitates Trade & Development:** Money enables smooth economic transactions, encouraging lawful business activities.
- **Promotes Justice:** Islamic law prohibits **Riba (interest)**, ensuring that money is not used to exploit others.
- **Encourages Circulation:** Hoarding (kanz) is discouraged; money should circulate to benefit society.
- **Zakat & Charity:** Money serves as a means for social welfare through **Zakat, Sadaqah**, and other charitable giving.
- **Moral Accountability:** Muslims are accountable before Allah for how they earn, spend, and invest their money.

3. Ethical Guidelines for Using Money

- **Lawful Sources:** Earnings must come from **Halal** activities.
- **Avoidance of Riba:** No interest-based lending or borrowing.
- **Prevention of Hoarding:** Idle money should be invested in productive, Shariah-compliant ventures.
- **Promotion of Social Justice:** Use wealth to help the poor and reduce inequality.

In Islam, money is not merely an economic instrument but also a means of fulfilling **moral, social, and spiritual responsibilities**. Its proper use ensures balanced economic growth, eradicates exploitation, and aligns financial activities with **the principles of justice and equity** taught in the Qur'an and Sunnah.

❖ Inflation

Definition

Inflation is the general and sustained rise in the prices of goods and services in an economy over a period of time. It reduces the purchasing power of money, meaning that a unit of currency buys fewer goods or services than before.

❖ Types of Inflation

1. Demand-Pull Inflation

- Occurs when aggregate demand exceeds aggregate supply.
- High demand for goods and services drives prices up.
- Example: Excessive consumer spending during festivals leads to rising prices.
- Islamic Perspective: Encourages moderation in demand; excessive hoarding or speculation can worsen this.

2. Cost-Push Inflation

- Caused by an **increase in production costs**, such as wages, raw materials, or energy.
- Businesses pass on higher costs to consumers.
- **Example:** Rise in fuel prices increases transport costs, which raises prices of goods.
- **Islamic Perspective:** Exploiting price hikes for profit is discouraged; fairness is emphasized.

3. Built-in Inflation (Wage-Price Spiral)

- Happens when **workers demand higher wages** to keep up with rising prices, and businesses increase prices to cover wage hikes.
- Creates a cycle of wage and price increases.
- **Example:** Salaries rise, leading shops to increase product prices, prompting further wage demands.

4. Hyperinflation

- Extremely high and accelerating inflation, often above 50% per month.
- Money loses value rapidly, causing economic instability.
- **Example:** Historical cases include Zimbabwe (2008) and Weimar Germany (1923).
- **Islamic Perspective:** Discourages mismanagement of money and emphasizes stability and trust in transactions.

5. Stagflation

- Combination of **high inflation with slow economic growth and high unemployment**.
- Rare but problematic because standard policies to control inflation may worsen unemployment.

❖ Causes of Inflation

1. Demand-Pull Inflation

- When aggregate demand exceeds aggregate supply.
- “Too much money chasing too few goods.”

2. Cost-Push Inflation

- Increase in production costs (wages, raw materials, energy).
- Producers raise prices to maintain profit.

3. Built-In Inflation (Wage-Price Spiral)

- Workers demand higher wages; firms raise prices; cycle continues.

4. Excess Money Supply

- More money in circulation than available goods/services → price rise.

5. Imported Inflation

- Rise in prices of imported goods or foreign exchange depreciation.

6. Government Deficit Financing

- Printing money to cover budget deficits increases money supply → inflation.

❖ Impact of Inflation

1. Reduction in Purchasing Power

- Money loses value; people can buy fewer goods and services.
- Example: 100 taka buys less than before.

2. Increased Cost of Living

- Prices of essentials like food, housing, and education rise, putting pressure on households.

3. Uncertainty in Business and Investment

- Rapid inflation makes it difficult for businesses to plan production, pricing, and investment.

4. Income Redistribution

- Fixed-income earners (salaried workers, pensioners) are adversely affected.
- Borrowers may benefit as they repay loans with “less valuable money.”

5. Impact on Savings

- Savings lose value if returns are lower than inflation.
- Encourages spending or investment instead of hoarding.

6. Effect on Trade

- Inflation can make exports more expensive and less competitive internationally.

7. Potential Positive Effect (Moderate Inflation)

- Encourages spending and investment, stimulating economic growth.
- Can slightly reduce the real burden of debts.

❖ Measures to Control Inflation

Inflation can be controlled through monetary, fiscal, and structural measures, along with ethical guidance in Islam:

1. Monetary Measures

- Reduce money supply through higher interest rates.
- Increase reserve requirements for banks.

2. Fiscal Measures

- Reduce government spending.
- Increase taxes to absorb excess money.

3. Direct Controls

- Price controls on essential goods.
- Rationing to limit demand.

4. Supply-Side Measures

- Increase production of goods/services.
- Encourage investment in key sectors.

❖ Deflation

Definition:

Deflation is the general and sustained fall in the prices of goods and services, which increases the purchasing power of money.

Causes of Deflation:

- **Decline in Aggregate Demand:** Consumers spend less, reducing overall demand.
- **Excess Supply:** Production exceeds consumption.
- **Reduction in Money Supply:** Less money in circulation.
- **Technological Advancements:** Efficiency reduces production costs and prices.

❖ Policies to Control Deflation

- **Monetary Policy:** Increase money supply, lower interest rates to encourage spending.
- **Fiscal Policy:** Increase government spending and reduce taxes to stimulate demand.
- **Supply Management:** Reduce overproduction, support sectors facing falling demand.
- **Islamic Perspective:** Promote fair trade, discourage unethical practices that reduce market stability, and encourage spending in productive ways.

Chapter Three: “Conventional Commercial Banking”

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Conventional Commercial Banking

❖ Definition:

A **commercial bank** is a financial institution that accepts deposits from the public and provides loans to individuals, businesses, and governments with the primary aim of earning profit.

- It operates on an **interest-based system** (depositors earn interest, borrowers pay interest).
- It is regulated under central bank policies (in Bangladesh, Bangladesh Bank).

❖ Functions:

Commercial banks perform several important functions for individuals, businesses, and the economy as a whole. These can be grouped into **primary, secondary, and development functions**.

1. Primary Functions: These are the core activities of a commercial bank.

A. Accepting Deposits

- Current Account (for businesspersons, no interest, frequent transactions).
 - Savings Account (for small savers, earns interest).
 - Fixed Deposit (longer-term deposits with higher interest).
- This is the main source of funds for banks.

B. Providing Loans and Advances

- Loans (short-term and long-term).
 - Overdrafts (allowing withdrawals beyond deposits).
 - Cash Credit (loan against collateral).
 - Discounting Bills of Exchange.
- Main way banks earn interest and profit.

C. Credit Creation

- By lending more than their actual cash reserves, banks multiply money in the economy.

2. Secondary Functions: These include agency and utility services:

A. Agency Functions (on behalf of customers):

- Collecting cheques, dividends, and bills.
- Payment of insurance premiums, electricity bills, etc.
- Acting as trustee, executor, or representative of clients.

B. General Utility Functions:

- Providing locker facilities for valuables.
- Foreign exchange services (currency exchange, L/C for imports/exports).
- Issuing demand drafts, pay orders, bank guarantees.
- ATM, debit/credit cards, internet & mobile banking services.

3. Development Functions (especially in Bangladesh context)

- Financing Agriculture → Crop loans, microcredit to farmers.
- Promoting Industry & Trade → Working capital for businesses, L/C for trade.
- Encouraging SMEs & Startups → Special credit schemes for small businesses.
- Supporting Government Finance → Purchase of treasury bills, bonds.
- Financial Inclusion → Expanding services in rural areas, mobile banking (bKash, Nagad).

❖ Principles:

1. Liquidity Principle

- Banks must keep sufficient liquid assets (cash, reserves, short-term securities) to meet withdrawal demands of depositors at any time.

2. Profitability Principle

- Banks are business institutions; they aim to maximize profit mainly through interest earned on loans and investments.

3. Safety Principle

- Depositors' money must be safe.
- Loans are given only after proper evaluation of borrower's creditworthiness and security/collateral.

4. Solvency Principle

- Banks should maintain enough capital and reserves to remain solvent, even during financial crises.

5. Stability Principle

- A balance between liquidity, safety, and profitability should be maintained.
- Neither too much liquidity (less profit) nor too much lending (risk of insolvency).

6. Collection of Savings Principle

- Encourage people to save and deposit money with banks instead of keeping it idle.

7. Service to Economy Principle

- Banks should provide financial services (loans, remittance, trade finance) to promote economic growth and development.

❖ Credit Creation Methods:

Conventional commercial banks create credit by advancing loans much greater than the actual cash they hold. The main methods are:

1. Multiple Credit Creation (Deposit Expansion)

- When banks receive deposits, they keep a fraction as **Cash Reserve Ratio (CRR)** and lend out the rest.
- The money lent is deposited again in the same or another bank, which further lends after keeping a small reserve.
- This process continues, multiplying credit many times over the initial deposit.
- Formula:

$$\text{Credit Creation} = \frac{1}{\text{Cash Reserve Ratio}} \times \text{Initial Deposit}$$

2. Loans and Advances

- Banks provide loans, overdrafts, and cash credits to businesses and individuals.
- These loans increase purchasing power, creating new money in the economy.

3. Investment in Securities

- Banks purchase government securities, bonds, and treasury bills.
- This increases money supply and indirectly supports credit expansion.

4. Discounting of Bills of Exchange

- Banks buy (or discount) bills of exchange and promissory notes before maturity at a lower price.
- By doing this, they inject fresh money into circulation.

5. Overdraft Facility

- Customers are allowed to withdraw more than their deposit balance.
- This facility increases the supply of credit in the economy.

6. Credit Instruments

- Use of cheques, drafts, credit cards, and electronic transfers creates money substitutes.
- Even without cash, payments are made, which increases credit flow.

❖ Structure:

Structure of Conventional Commercial Banking in Bangladesh

Commercial banks in Bangladesh operate under the guidance and regulation of the Bangladesh Bank (the central bank). The structure can be divided into different tiers and categories.

1. Central Bank (Regulatory Authority):

- Bangladesh Bank is the central bank of the country, established in 1972.
- It regulates all commercial banks, issues currency, controls monetary policy, manages foreign exchange, and supervises credit and liquidity.

2. Scheduled Banks:

Banks that are licensed under the Bank Company Act, 1991 and are regulated by Bangladesh Bank.

A. State-owned Commercial Banks (SOCBs)

Fully or majority-owned by the government.

- Examples:

Sonali Bank Limited, Janata Bank Limited, Agrani Bank Limited, Rupali Bank Limited.

B. Private Commercial Banks (PCBs)

Owned and managed by private shareholders.

Largest category in Bangladesh.

- Examples:

BRAC Bank, Dutch-Bangla Bank, City Bank, Eastern Bank

C. Foreign Commercial Banks (FCBs)

Branches of foreign banks operating in Bangladesh.

- Examples:

Standard Chartered Bank, HSBC, Citi NA, Commercial Bank of Ceylon.

3. Non-Scheduled Banks:

- Not included in the list of scheduled banks, but operate under special laws.
- Provide limited and specialized banking services.
- Example: Grameen Bank (microfinance institution).

4. Specialized Banks:

Established for special purposes such as agriculture, rural development, or industry.

- Example:

Bangladesh Krishi Bank (agriculture finance), Rajshahi Krishi Unnayan Bank (RAKUB), Bangladesh Development Bank Limited (BDBL).

5. Cooperative and Rural Banks:

- Operate in rural areas to promote financial inclusion.
- Often linked with cooperative societies and microcredit institutions.

❖ Role and Importance of Conventional Commercial Banking in Bangladesh:

Commercial banks are the backbone of Bangladesh's financial system. They mobilize savings, provide credit to different sectors, and act as a bridge between depositors and borrowers. By financing trade, industry, agriculture, and government activities, they contribute directly to the country's socio-economic development.

1. Mobilization of Savings

- Collects small savings from households and businesses.
- Transforms idle money into productive capital.
- Encourages the habit of saving among people.

2. Providing Capital for Investment

- Provides loans and advances to industries, businesses, agriculture, and services.
- Supplies working capital and long-term investment funds.
- Supports entrepreneurship and industrial growth.

3. Facilitating Trade and Commerce

- Provides credit, overdrafts, and letters of credit (LCs) for import and export.
- Encourages domestic and international trade.
- Smoothens payment and settlement systems.

4. Employment Generation

- By financing industries and businesses, banks help create job opportunities.
- Banking institutions themselves employ thousands of people across the country.

5. Agricultural and Rural Development

- Provides loans to farmers for seeds, fertilizers, machinery, and irrigation.
- Supports rural development and reduces poverty.

6. Infrastructure Development

- Finances roads, bridges, power plants, and communication systems.
- Plays a key role in national development projects.

7. Contribution to Government Revenue

- Banks invest in government securities and treasury bills.
- Pay taxes, duties, and help in deficit financing by providing loans to the government.

8. Poverty Alleviation and SME Financing

- Provides microcredit, SME (Small and Medium Enterprise) loans, and women entrepreneurship financing.
- Helps reduce inequality and promotes inclusive growth.

9. Stabilizing the Economy

- Regulates money supply through credit creation.
- Helps control inflation and ensures stability in the financial system.

10. Encouraging Foreign Investment and Remittance

- Facilitates remittance transfer from migrant workers.
- Provides banking facilities to foreign investors and encourages FDI.

❖ Problems of Conventional Commercial Banking in Bangladesh

1. High Non-Performing Loans (NPLs)

- A large portion of bank loans are not recovered.
- Political influence and weak legal enforcement worsen loan defaults.

2. Poor Governance and Corruption

- Political interference in loan sanctioning and appointments.
- Lack of professionalism and transparency.

3. Capital Adequacy Problems

- Many banks do not maintain sufficient capital reserves as per international standards).

4. Excessive Competition

- Too many banks compared to the size of the economy (60+ banks).
- Leads to unhealthy competition and financial instability.

5. Inefficient Management

- Weak human resource policies, lack of modern training.
- Low technological adaptation in some banks.

6. Loan Concentration in Few Sectors

- Heavy concentration in large industries and urban businesses.
- Neglects agriculture, SMEs, and rural economy.

7. Weak Legal and Judicial System

- Slow recovery process for defaulted loans.
- Lack of effective bankruptcy laws.

8. Corruption and Money Laundering

- Banks often face issues of money laundering, fraud, and illegal fund transfers.

9. Digital Security Risks

- Cybersecurity threats and ATM fraud cases.
- Weak monitoring of electronic transactions.

10. Low Financial Inclusion

- Many rural and poor people remain outside the formal banking system.
- Over-dependence on informal moneylenders.

❖ Policy Implications

1. Strengthening Legal Framework

- Enforce strict laws against loan defaulters.
- Establish fast-track courts for loan recovery.

2. Good Governance and Transparency

- Minimize political interference.
- Strengthen Bangladesh Bank's monitoring authority.

3. Reduce Number of Weak Banks

- Merger of weak and loss-making banks.
- Issue licenses only to qualified institutions.

4. Improve Capital Adequacy

- Ensure compliance with Basel III requirements.
- Encourage banks to build stronger capital reserves.

5. Encourage Financial Inclusion

- Expand banking services to rural areas.
- Promote mobile and agent banking.

6. Promote SME and Agricultural Financing

- Provide soft loans and credit guarantees to small businesses and farmers.

7. Enhance Cybersecurity

- Modernize IT systems and strengthen digital security.

8. Professional Development

- Provide proper training and skill development for bank employees.

9. Strengthen Anti-Money Laundering Measures

- Enforce KYC (Know Your Customer) and AML (Anti-Money Laundering) regulations.

10. Increase Accountability

- Strong audit systems, monitoring boards, and independent regulators.

Chapter Four: “Commercial Banking in Islam”

Mosfiqur Rahman

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❖ **Emergence of Islamic Banks:**

Islamic banking emerged as a response to both religious and economic exigencies. While religious exigency calls for avoiding any transaction based on interest, economic exigencies, on the other hand, provide a new outlook to the role of banking in promoting investment / productive activities, influencing distribution of income and adding stability to the economy. Islamic banking is thus perceived as an improved system in all dimensions.

➤ **The first attempt:**

Interestingly, the concept of Islamic Banking is several decades old. The first attempt to establish an Islamic financial institution took place in Pakistan in the late 1950s with the establishment of a local Islamic bank in a rural area (Wilson 1983).

➤ **The second attempt:**

The second pioneering experiment of putting the principles of Islamic banking and finance into practice was conducted in Egypt from 1963 to 1967 through the establishment of the Mit Ghamr Savings Bank in a rural area of the Nile Delta.

➤ **Tabung Haji: a successful attempt:**

Tabung Haji, established in Malaysia in 1963, is a successful attempt to combine Islamic finance with Hajj management. It introduced a savings scheme that allows Muslims to prepare gradually for pilgrimage in a Shariah-compliant way. The institution invests depositors' money only in halal sectors, avoids Riba, and distributes profits fairly. At the same time, it provides complete Hajj services such as visas, accommodation, transport, and health care. Thus, Tabung Haji has become a model of Islamic financial management and an effective means to help Muslims fulfill their religious duty.

➤ **Other attempts:**

Next to follow was the Dubai Islamic Bank in 1975. The Dubai Islamic Bank is a public limited company having its office at Dubai, U.A.E. with capital of 50 million Dirhams. Since then, a number of Islamic banks and financial institutions have been established in different parts of the world and have been functioning successfully. A significant development in Islamic banking has been the granting of an Islamic bank license in Saudi Arabia to the fifty-year old "Al-Rajhi Company", a firm noted for its currency, exchange and commercial activities, whose assets exceed \$5 billion.

➤ **Islamic Development Bank:**

The Islamic Development Bank (IDB) is an international financial institution established in 1975 to foster economic development and social progress in member countries and Muslim communities in accordance with Islamic Shariah principles. It provides financial and technical assistance for development projects, promotes trade and investment, and supports poverty alleviation, education, and infrastructure development, all without involving interest (Riba).

➤ **Bangladesh:**

In November 1982, a delegation of IDB visited Bangladesh and showed keen interest to participate in establishing a joint venture Islamic bank in the private sector. They found a lot of work had already been done and Islamic banking was in a ready form for immediate introduction. Two professional bodies -Islamic Economics Research Bureau (IERB) and Bangladesh Islamic Bankers' Association (BIBA) made significant contributions towards introduction of Islamic banking in the country. They came forward to provide training on Islamic banking to top bankers and economists to fill-up the vacuum of leadership for the future Islamic banks in Bangladesh. They also held seminars, symposia and workshops on Islamic economics and banking throughout the country to mobilise public opinion in favour of Islamic banking

❖ **Definition of Islamic Banking:**

Islamic banking is a system of banking that operates according to the principles of Islamic Shariah. It prohibits Riba (interest), gharar (excessive uncertainty), and investment in haram (forbidden) activities. Instead, it is based on profit-and-loss sharing, trade, and investment in halal sectors. The main aim of Islamic banking is to provide financial services in a way that is ethical, just, and compliant with Islamic law.

- **General Definition:** A banking system based on Shariah (Islamic law) which prohibits interest (Riba) and promotes risk-sharing, profit-sharing, and ethical investment.
- **OIC Definition (1981):** “Islamic banking is a financial institution whose statutes, rules, and procedures expressly state its commitment to the principles of Islamic Shariah and to banning the receipt and payment of interest on any of its operations.”

❖ **Distinguishing Features of Islamic Banks:**

- Operates on the basis of Shariah under the guidance of a Shariah Supervisory Board.
- No fixed interest — only profit-sharing and risk-sharing.
- Investment restricted to halal sectors.
- Provides asset-backed financing (loans must be linked to real assets).
- Promotes social justice and welfare.
- Emphasis on partnership, transparency, and fairness in contracts.

❖ **Functions of Islamic Banks:**

- Accept deposits on the basis of profit-sharing (Mudarabah).
- Provide loans and financing through Shariah-compliant modes (Mudarabah, Musharakah, Murabaha, Ijarah, Istisna, Salam).
- Facilitate trade and commerce by issuing Letters of Credit (LC) and guarantees without interest.
- Encourage savings and investment in halal businesses only.
- Promote social welfare by financing poverty alleviation, zakat distribution, and charitable projects.
- Provide foreign exchange services (remittance, import/export finance) in a Shariah-compliant way.

❖ Objectives of Islamic Banks:

- Elimination of interest (Riba) from the economy.
- Promote risk-sharing and justice between bank and client.
- Encourage halal investment and avoid haram businesses (e.g., alcohol, gambling, etc.).
- Mobilize resources for productive and ethical use.
- Ensure equitable distribution of wealth in society.
- Support poverty alleviation and development of the ummah.

❖ Contribution of Islamic Banks towards Socio-economic Development:

The Islamic financial institutions contribute towards socio-economic development of Muslims by mundane and spiritual improvements in a number of ways:

- They provide a wider choice in the modes of financing and financial contracts;
- Enhance the growth of GNP by advancing finances for businesses and other economic activities;
- Motivate Muslims to increase savings and reduce hoarding, thereby increasing their participation in the development process;
- Contribute to the process of savings mobilization and capital accumulation;
- Provide employment opportunities;
- Improve the standard of living of their clients by extending finances for purchase of consumer durables such as cars, homes, etc.;
- Lead towards greater socio-economic unity by providing finance to the poor sectors of the population in agriculture and small businesses;
- Help the managers, employees and clients to improve their Islami city as they can deal on the basis of Islamic financial contracts;
- Provide ways to avoid interest-bearing contracts; and
- Enable for more systematic collection and utilization of zakat for the purpose of eradication of poverty and socio-economic equality.

❖ Riba Versus Profit:

There are persons who try to equate Riba with profit. In effect, they are fundamentally different from each other as can be seen from the following.

Point	Riba (Interest)	Profit
1	When money is charged, its imposed, fixed, and positive result is Riba.	When money is used in trading or business, its uncertain result is profit.
2	By definition, Riba is the premium paid by the borrower to the lender along with the principal as a loan condition.	By definition, profit is the difference between total revenue and total cost (Profit = TR – TC).

Point	Riba (Interest)	Profit
3	Riba is pre-fixed; there is no uncertainty for either the lender or borrower.	Profit is post-determined; it is known only after business activity is completed.
4	Riba can never be negative; it can only be fixed or very low.	Profit can be positive, zero, or even negative (loss).
5	From the Islamic Shariah point of view, Riba is Haram (prohibited).	From the Islamic Shariah point of view, profit is Halal (permissible).

❖ Conventional and Islamic banking:

Conventional banking is essentially based on the debtor-creditor relationship between the depositors and the bank on the one hand, and between the borrowers and the bank on the other. Interest is considered to be the price of credit, reflecting the opportunity cost of money.

In Islam, loans are given or taken free of charge to meet genuine needs. In Islamic banking, the creditor must not exploit the borrower, as charging interest often causes injustice. The Qur'an states: *"Deal not unjustly, and you shall not be dealt with unjustly"* [2:279]. Thus, Islamic commercial banking is not based on a debtor-creditor relationship.

Point	Conventional Banks	Islamic Banks
1	Functions and operations are based on man-made principles.	Functions and operations are based on Islamic Shariah principles.
2	Investor is assured of a predetermined interest rate.	Promotes risk sharing between capital provider (investor) and user (entrepreneur).
3	Aims at maximizing profit without restrictions.	Aims at maximizing profit but subject to Shariah restrictions.
4	Does not deal with Zakat.	Collects and distributes Zakat as a service.
5	Fundamental function: lending money and getting it back with interest.	Fundamental function: participation in partnership business.
6	Scope of activities is narrower.	Scope of activities is wider; a multi-purpose institution.
7	Can charge extra money (compound interest) from defaulters.	No provision to charge extra money from defaulters.
8	Bank's own interest often dominates; little focus on equity growth.	Emphasizes public interest and ensures growth with equity.

Point	Conventional Banks	Islamic Banks
9	Borrowing from money market is easier.	Borrowing from money market is comparatively difficult.
10	Fixed income from advances; less focus on project appraisal.	Shares profit & loss; pays greater attention to project appraisal.
11	Emphasizes credit-worthiness of clients.	Emphasizes viability of projects.
12	Bank-client relationship: creditor and debtor.	Bank-client relationship: partners, investors, and traders.
13	Must guarantee all deposits.	Cannot guarantee all deposits strictly.

❖ **PLS (Profit and Loss Sharing) Modes of Investment Financing:**

The prohibition of interest does not, however, mean that there is a prohibition on earning any return on financing. It is possible, within the Islamic framework, to earn income on financing. In Islamic Financing System this earning on financing is being practiced as Profit/Loss Sharing (PLS) system instead of interest.

A. Mudarabah (Trustee Partnership)

- One party provides capital, the other provides expertise/management.
- Profit is shared according to pre-agreed ratio.
- Loss is borne only by the provider of capital, unless due to negligence of manager.

B. Musharakah (Joint Partnership)

- Both parties contribute capital and share profits according to agreement.
- Losses are shared in proportion to capital contribution.

These two are the true PLS modes of Islamic finance.

❖ **Superiority of PLS System:**

The prohibition of interest (Riba) in Islam was originally not based on economic theory but on divine authority, which considered charging interest an act of injustice. Interest corrupts society, demeans and diminishes human personality, negates the culture of brotherhood and sympathy, and retards economic growth and development.

Islamic scholars have suggested various forms of business practices on the basis of the Profit-Loss Sharing (PLS) system, which can lead an Islamic economic society to a superior state. When a Muslim lends funds under PLS contracts, the money is used to create assets through productive investment. This adds to the existing stock of capital, increases the productive capacity of the economy, and generates additional wealth.

The elimination of interest and the introduction of the PLS system promote economically just, socially fair, and ethically correct dealings in accordance with Islamic principles. Harmonious trade through PLS creates powerful economic incentives and brings about cooperation and co-participation in all areas of life. It also improves human personality by redeeming greed, selfishness, frugality, narrow-mindedness, and hard-heartedness.

➤ **Implementation of PLS ensures distributive justice in the following ways:**

1. Fair sharing of profits and losses – prevents exploitation.
2. Circulation of wealth – avoids concentration in a few hands.
3. Encouragement of real economic activity – links finance with production.
4. Balanced social development – ensures benefits reach all groups.
5. Ethical investment – promotes halal and socially beneficial projects.

❖ **Operational Technique of an Islamic Bank:**

Islamic banks operate differently from conventional banks because they avoid **Riba (interest)** and use **Shariah-compliant contracts**. The main operational techniques can be divided into two sides:

1. Sources of Funds:

Islamic banks collect deposits from customers in the following ways:

A. Current Accounts (Wadiah/Amanah):

- Depositors keep money for safekeeping.
- Bank guarantees refund on demand.
- No profit, no loss, but sometimes Hibah (gift) is given.

B. Savings Accounts (Mudarabah):

- Depositor is Rab-ul-Maal (capital provider), bank is Mudarib (entrepreneur).
- Profit shared according to pre-agreed ratio.
- No guarantee of fixed return.

C. Investment Accounts (Mudarabah):

- Depositors invest for a fixed period.
- Bank invests in halal ventures.
- Profit shared as per ratio, loss borne by depositor unless due to bank's negligence.

2. Uses of Funds:

To generate revenue, Islamic banks utilized the funds by giving out financing facilities. The financing facilities are done based on the Islamic concepts accepted by the Islamic bank Shariah Council / Committee.

The concepts usually applied by the Islamic bank are as follows.

➤ **Murabaha (cost plus / mark up)**

This is the most commonly used mode of financing device. In a Murabaha transactions, the bank finances the purchase of a good or assets by buying it on behalf of its client and adding a mark-up before reselling it to the client on a cost-plus basis profit contract.

➤ **Bai' muajjal (deferred payment)**

Islamic banks have also been resorting to purchase and resale of properties on a deferred payment basis. It is considered lawful in Fiqh (jurisprudence) to charge a higher price for a good if payments are to be made at a later date. According to Fiqh this does not amount to charging interest, since it is not a lending transaction but a trading one.

➤ **Bai' salam (prepaid purchase)**

This method is really the opposite of the Murabaha. There the bank gives the commodity first, and receives the money later. Here the bank pays the money first and receives the commodity later, and is normally used to finance agricultural products.

➤ **Istisna'a (manufacturing)**

This is a contract to acquire goods on behalf of a third party where the price is paid to the manufacturer in advance and the goods produced and delivered at a later date,

➤ **Ijarah and Ijara Wa Iqtina (leasing)**

Under this mode, the banks buy the equipment or machinery and lease it out to their clients who may opt to buy the items eventually, in which case the monthly payments will consist of two components, i.e. rental for the use of the equipment and installment towards the purchase price.

➤ **Qard Hasan (benevolent loans)**

This is the zero return type of loan that the Holy Quran urges Muslims to make available to those who need them. The borrower is obliged to repay only the principal amount of the loan, but is permitted to add a margin at his own discretion.

3. Investment Restrictions:

- Funds cannot be invested in **haram activities** (alcohol, gambling, pork, usury, speculative trading, etc.).
- Only halal and productive ventures are financed.

4. Shariah Supervision:

- Each Islamic bank has a **Shariah Supervisory Board**.
- Ensures all operations comply with Islamic principles.

5. Profit Distribution

- Profits from investments are shared between bank and depositors according to pre-agreed ratios.
- No guaranteed return, unlike conventional banking

❖ Criteria for selecting a project:

➤ **Technical Criteria:**

The purpose of technical criteria is to examine whether the project is viable with regard to every engineering and technological aspect of the project's specification and process.

➤ **Economic Criteria:**

Economic study of a project begins with a thorough analysis of the market for the product to be made or sold. Obviously, no project can be a success unless there is market for its product. In a market study, it is necessary to find out the answers of three questions: (a) How big is the market? (b) To what extent it is likely to grow? and (c) How much of it can the project capture?

➤ **Commercial Criteria:**

The importance of assessing commercial viability of a project cannot be over emphasized, regardless of whether the project is a new one or an expansion of an existing business. The commercial viability is measured by determining the profitability of the project. Profitability indicates public acceptance of the product and shows that the enterprise can produce competitively. Profits provide the money for repaying the debt incurred to finance the project and are the source for internal financing of expansion.

➤ **Financial Criteria**

The acceptability of the project to the bank is also dependent on the financial viability of the project. The financial study involves the analysis of capital structure, working capital financing plan, cash flow potential and profitability. Detailed analysis of proposed financial statements (Balance Sheet, Profit & Loss A/C) provides a useful indication for assessing the financial viability.

➤ **Entrepreneurial Capability Criteria:**

Entrepreneurial capability encompasses a range of criteria, including identifying and seizing opportunities, strategic thinking, and the ability to manage resources effectively. Key elements include opportunity recognition, risk-taking, commitment to goals, and strong communication skills. Furthermore, entrepreneurial capability involves personal qualities like resilience, adaptability, and a strong work ethic.

➤ **Managerial Criteria:**

Assessment of managerial capability of the sponsor is crucially important for any financial institutions before agreeing to finance a project. Many enterprises fail due to the lack of managerial skills. Therefore, it is very important to assess the managerial capability of the entrepreneur. If the entrepreneur does not possess managerial competence to run the enterprise, he may employ professional managers.

➤ **Security Criteria:**

Every financial institution places emphasis on this aspect of the project appraisal process. The security coverage may be given by mortgaging fixed assets and freehold property, hypothetical pledge of machinery and equipment, personal guarantee of the sponsors and comprehensive insurance coverage on the project's assets and goods.

➤ **Benefit of National Economy Criteria:**

The suitability of the project can be judged by ascertaining its contribution to employment generation, value added to the economy, import substitution and the promotion of backward and forward linkage industries.

❖ **Other Major Islamic Financing Modes (Non-PLS but Shariah-Compliant):**

- **Murabaha** → Cost-plus sale (bank buys goods and sells to client at a profit).
- **Ijarah** → Leasing (bank purchases assets and leases them out).
- **Istisna** → Manufacturing contract (bank finances production of goods).
- **Salam** → Advance payment contract (buyer pays in advance for goods delivered later).

❖ True Picture of an Islamic Bank:

On the basis of the above analysis, the expected picture of a true Islamic bank can be drawn from two major perspectives:

A. From the Ideological Viewpoint

1. A true Islamic bank conducts all its activities strictly on the principles of Islamic Shariah.
2. In no case is Riba (interest) allowed; all funds are mobilized and investments made only through Shariah-permitted modes (e.g., Mudarabah, Musharakah, Murabaha, Ijarah, etc.).
3. The bank only engages in halal activities and refrains from financing prohibited sectors like alcohol, gambling, or unethical businesses.

B. From the Socio-Economic Development Viewpoint:

A true Islamic bank plays a vital role in economic development while ensuring justice, fairness, and social welfare. Its key features include:

1. Mobilisation of savings in the light of Shariah rules.
2. Effective utilisation of resources by channeling funds into productive investments.
3. Providing banking services efficiently, honestly, and diligently.
4. Supporting agriculture where it is the backbone of the economy.
5. Development of human resources through training, re-training, and education.
6. Mobilisation of non-human resources, including religious obligations such as Zakat and Sadaqah.
7. Ensuring justice and equitable distribution of income and wealth across society.
8. Promotion of social solidarity by encouraging cooperation, risk-sharing, and mutual help.

“The End”